

Meta Platforms, Inc.

META NASDAQ

Buy \$549.90 ▲ 0.75% 12M Price Target \$640.00 52-Week Range \$520.26 – \$790.80 Market Cap \$1.40T

META: Antitrust Trial Overhang Meets Legendary Buyer Interest

WHAT HAPPENED

- Stock is barely off the 52-week low (\$520), sitting at just 11% of its 52-week range — meaning it's been beaten down hard from the \$790 highs. The FTC antitrust trial resumed today, which is the overhang everyone's watching. Translation: the market is pricing in real fear that Meta could be forced to spin off Instagram or WhatsApp.
- Two "legendary investors" reportedly just bought META (per Motley Fool) — usually that means Buffett-tier names filed 13Fs showing new positions. That's a contrarian signal at these levels.

WHY IT MATTERS

Here's the tension: the CFO and Chief Legal Officer just dumped ~\$3.5M in stock right before the trial resumed — that's not a "we're confident" signal, that's protecting personal downside ahead of a known catalyst. BUT institutions still own 79% and marquee investors are stepping in near lows, which tells me smart money thinks the trial risk is overstated. The options flow is mixed but leaning bullish (put/call of 0.39 means way more call buying), even though someone loaded up on \$550 puts as a hedge. My read: this is a coiled spring — a "not-guilty-enough" ruling or settlement gets you a 15-20% rip, while a bad ruling probably just re-tests \$500 rather than crashing (because forced divestiture would take years and the ad business keeps printing money in the meantime).

POLICY & POLITICAL WATCH

The FTC antitrust trial is THE story — this is the government trying to unwind Meta's Instagram and WhatsApp acquisitions, arguing they killed competition. A loss doesn't mean instant breakup; it means years of appeals, but headline risk is real. Separately, watch the Kids Online Safety Act (KOSA) — it's been bouncing around Congress and if it passes, Meta faces compliance costs but ALSO a moat (smaller competitors can't afford the age-verification tech). Trump-era executive orders on AI have been relatively business-friendly compared to feared EU-style regulation, which is a quiet tailwind for META's Llama models and Reality Labs bets.

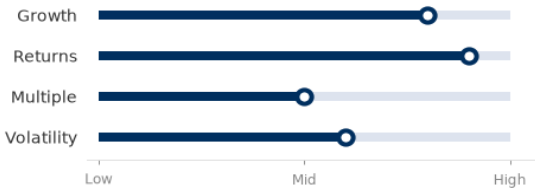
IS IT EXPENSIVE?

At \$550 with ~\$27.50 in expected earnings, you're paying about 20x forward earnings — meaning \$20 for every \$1 the company will earn next year. That's cheap for a business growing revenue ~15% with 35%+ operating margins. Compare to Microsoft at 30x+ and Google at 22x — META is the discount bin of Big Tech right now, and the discount exists because of the antitrust cloud plus fears that AI capex (\$60B+ this year) won't pay off.

Key Data

Price (USD)	\$549.90
12M Price Target	\$640.00
Upside / (Downside)	+16.4%
Market Cap	\$1.40T
FY2026E Revenue	\$195M
FY2027E Revenue	\$224M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	20.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$590.00	\$560.00	\$515.00
6 Months	\$680.00	\$610.00	\$490.00
1 Year	\$780.00	\$640.00	\$470.00
2 Years	\$900.00	\$720.00	\$450.00
5 Years	\$1200.00	\$900.00	\$500.00
10 Years	\$2000.00	\$1300.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2.14%) and Healthcare (+4.33% on the week) are catching a bid — likely rotation out of frothy tech ahead of Nvidia earnings. Defensive positioning.

COOLING OFF: Comm Services (META's sector) is up only 0.65% and down 1.37% on the week — meaning the whole ad/media/social complex is being sold. That's a sector-level headwind, not just a META problem.

ROTATION WATCH: Money is rotating OUT of mega-cap tech and INTO defensives and cyclicals — classic pre-Nvidia-earnings de-risking. If Nvidia delivers Wednesday, expect tech to snap back and META gets a beta bounce.

RELATED PLAY: If you believe the antitrust fear is overblown, Alphabet (GOOGL) trades on the same theme with its own DOJ case — same setup, same discount, potentially same rebound.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): The whole market is holding its breath for their earnings — they're the AI trade's referee, and META is a huge NVDA customer
- AVGO (Broadcom): Rebounding with Wall Street calling 25% AI upside — the picks-and-shovels play benefits regardless of which platform wins

META CONTEXT: META is lagging badly — down near 52-week lows while the S&P is near highs. That's either a screaming buy signal (mean reversion) or a warning (market knows something). Given insider selling into the trial, I lean toward "known overhang, priced in" rather than "something structurally broken."

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the risk/reward at these levels but I'm not pounding the table until I see the trial's direction; the setup is asymmetric to the upside.

POSITION SIZE: 4-6% — big enough to matter if it works, small enough that a bad ruling doesn't wreck your year.

ENTRY POINTS: Scale in between \$520-545. If it breaks \$520 on trial news, that's your gut-check moment — either double down or wait for the dust to settle around \$490.

TIME HORIZON: 12-24 months. The catalyst is trial resolution (next 6 months) plus AI monetization evidence (2026-2027 as Llama and business messaging turn into real revenue).

WHEN TO BAIL: Ad revenue growth drops below 10% year-over-year, OR the trial produces a forced divestiture with no appeal path, OR Zuckerberg's AI capex hits \$80B+ without visible ROI.

HEDGING: Buy some cheap out-of-the-money puts expiring in October — think of it as insurance during the trial. Costs you maybe 1-2% of your position to sleep well.